

THE BUZZ

ITC-BAT

THE SMOKE CLEARS

BAT reducing its stake in ITC could remove uncertainties for the Indian giant

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► **BRITISH AMERICAN TOBACCO P.L.C.**

(BAT), the London-based tobacco giant, has reduced its stake in Kolkata-headquartered diversified conglomerate ITC Ltd by selling some 436.85 million shares on March 13. The block trade of shares, comprising approximately 3.5% stake in ITC, was sold to institutional investors by way of an accelerated bookbuild process, where shares are offered in a short time period with hardly any marketing. While the move created ripples among market investors in India, BAT's strategy to utilise the proceeds over the next 18 months to buy back its shares resulted in an upward movement of its stock on the London Stock Exchange (LSE).

25.5
per cent

**BAT'S TOTAL STAKE IN ITC
AFTER THE SALE**

According to the BAT management, the deal helped the company raise some ₹16,690 crore in net proceeds. While the company did not divulge the rate at which it sold the shares, per brokerage Sharekhan by BNP Paribas, the sale took place at an average price of ₹400 per share. The British conglomerate used to hold 29.1% in ITC through its three group subsidiaries, Tobacco Manufacturers (India) Ltd or TMIL (23.87%), Myddleton Investment Company (3.9%), and Rothmans International Enterprises (1.24%). The deal, undertaken by BAT's subsidiary TMIL resulted in BAT's total stake coming down to 25.5%. According to BAT Chief Executive Tadeu Marroco, despite reducing its stake, the company plans to retain a level of influ-

